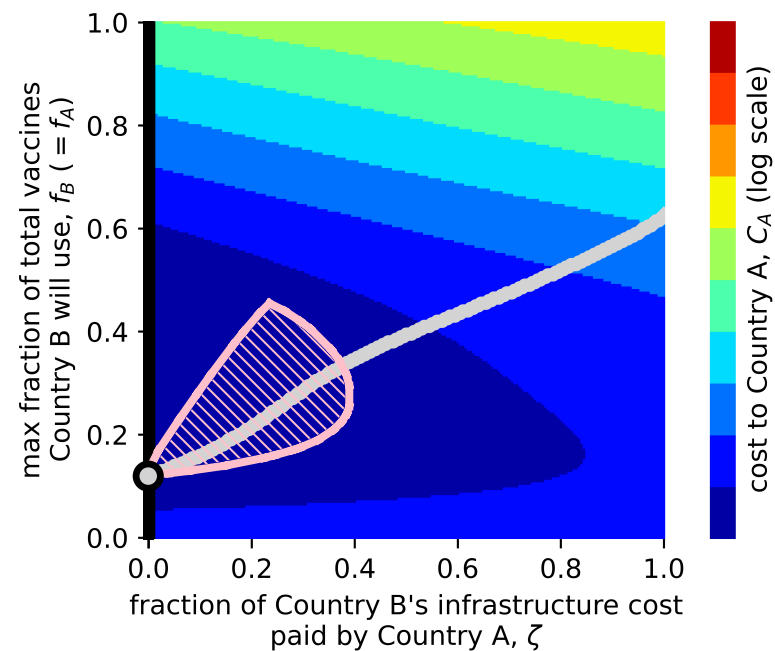


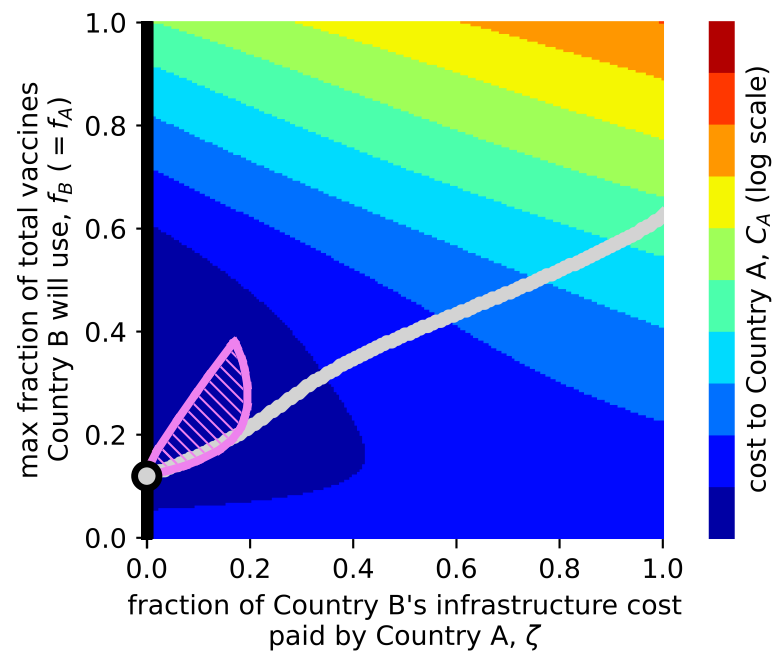
A

infrastructure development costs for Country A are 25% as costly as for Country B ( $x=.25$ )



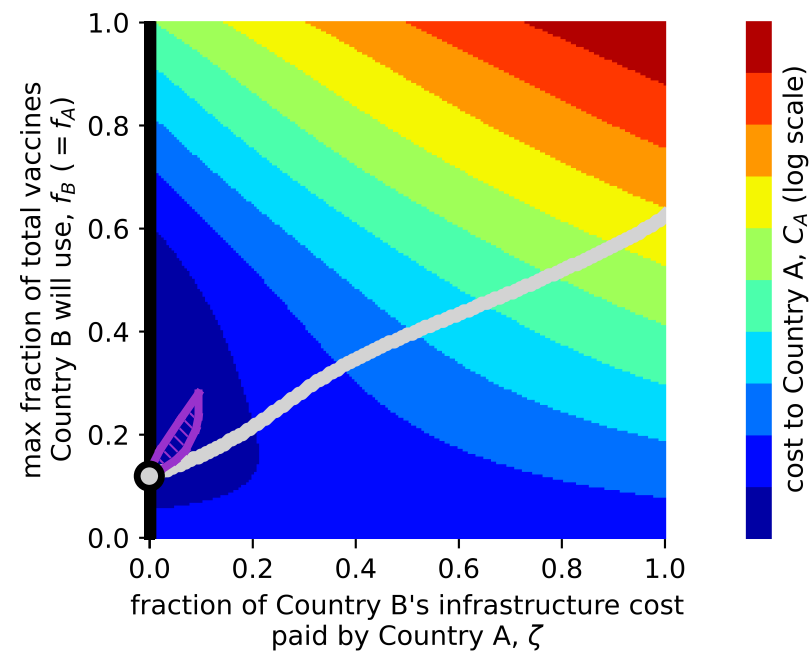
B

infrastructure development costs for Country A are 50% as costly as for Country B ( $x=.5$ )

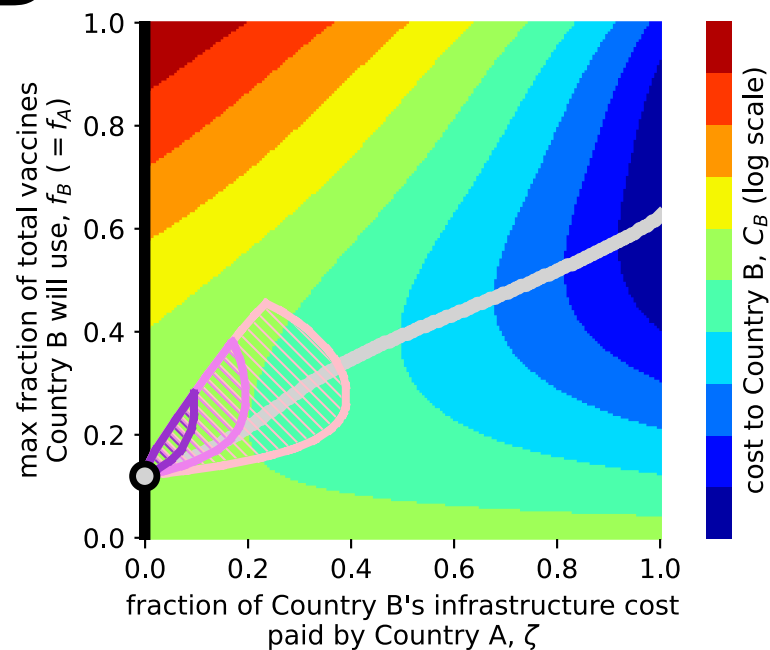


C

infrastructure development costs for Country A are 100% as costly as for Country B ( $x=1$ )



D



- Country A's cost-minimizing values of  $f_A$
- Country B's cost-minimizing values of  $f_B$
- overlap (Nash equilibria)

regions of lower cost than Nash equilibrium for both countries, with infrastructure development costs for Country A...

- 25% as costly as for Country B ( $x=.25$ )
- 50% as costly as for Country B ( $x=.5$ )
- 100% as costly as for Country B ( $x=1$ )